STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Orient Overseas (International)

HKEX: 316 · Industrials / Container shipping · Hong Kong

Case study: the highest value score in our universe, on peak-cycle earnings

UNDERWEIGHT	HK$124	HK$153	−19%
Rating	Base-case value	Price, 29 Oct 2026	Downside, 12 months

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

THE CALL

Underweight: a low P/E in shipping usually means peak earnings

OUR CALL

UNDERWEIGHT

Target	HK$124
Price	HK$153
Downside	–19%
Horizon	12 months
Conviction	Case study

1

Why the model bought it

The Dec 2025 score used FY2024 EBIT of US$2.6bn; FY2025 delivered US$1.5bn.

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value rank in Industrials

2

Earnings are a rate times a volume

Profit rose 60-fold from 2019 to the 2022 peak, then fell 86% in a year.

–86%

profit, 2022 → 2023

3

2026 was rescued by a war

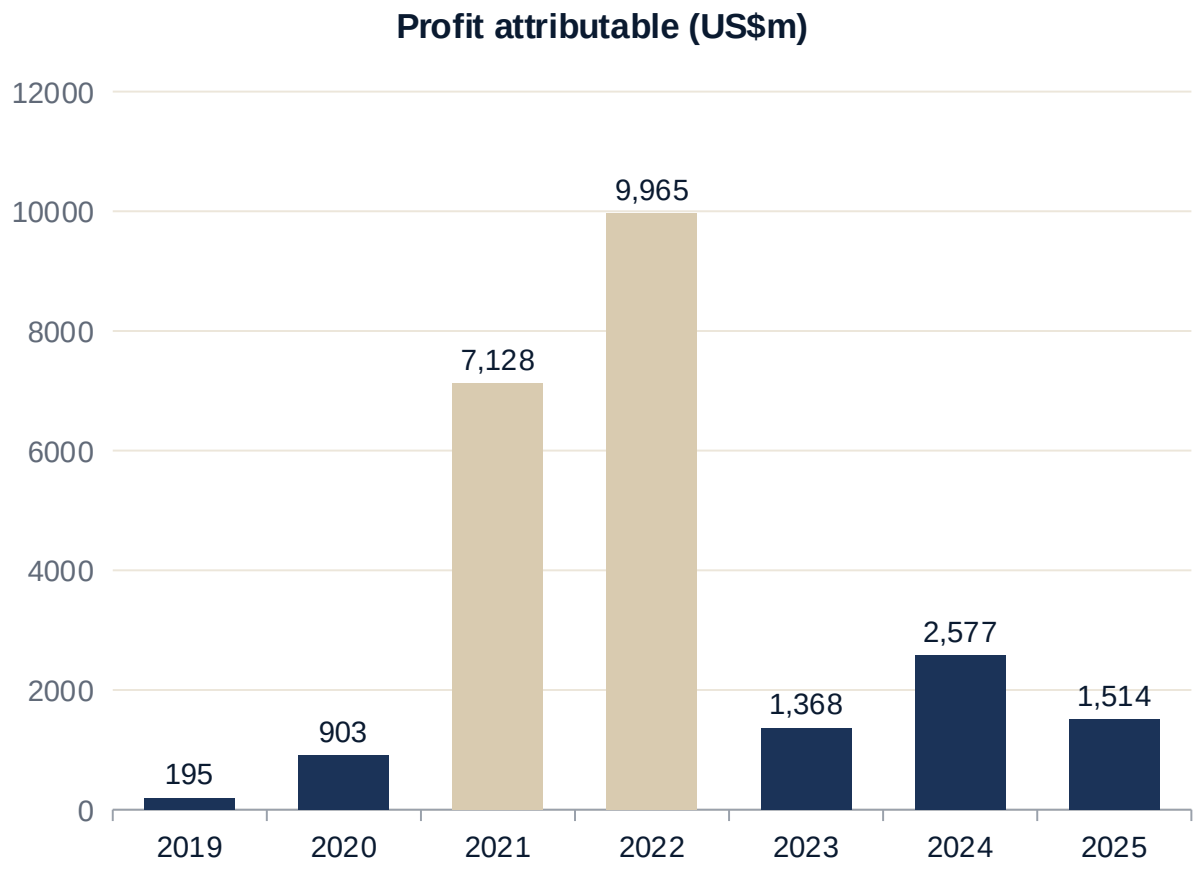
Hormuz disruption lifted Asia-US rates 109%; fleet growth still beats demand.

4.6% vs 4.1%

fleet vs demand growth, 2026

Source: OOIL 2024 and 2025 annual results announcements (HKEX), 2026 interim report; trade press on rates (Jun 2026).

Profit through the cycle: two supercycle years and a long normal



A pure-play liner (OOCL)

139 vessels, 1.15m TEU, Ocean Alliance member.

Controlled by COSCO

COSCO Shipping 71%, SIPG 9%: a free float of about 20%.

Cash-rich

No bank debt; US$4.5bn of net cash after leases (Jun 2026).

Source: OOIL annual results announcements 2019-2025 (HKEX); Annual Report 2025.

Rates are high for a reason that can reverse

+109%

Asia-US spot rates, Jun 2026

After the Hormuz disruption; ships now returning to Suez.

4.6% vs 4.1%

Fleet vs demand, 2026

The structural pressure on rates.

10 Nov 2026

US port fees

Section 301 fees on Chinese operators resume unless extended.

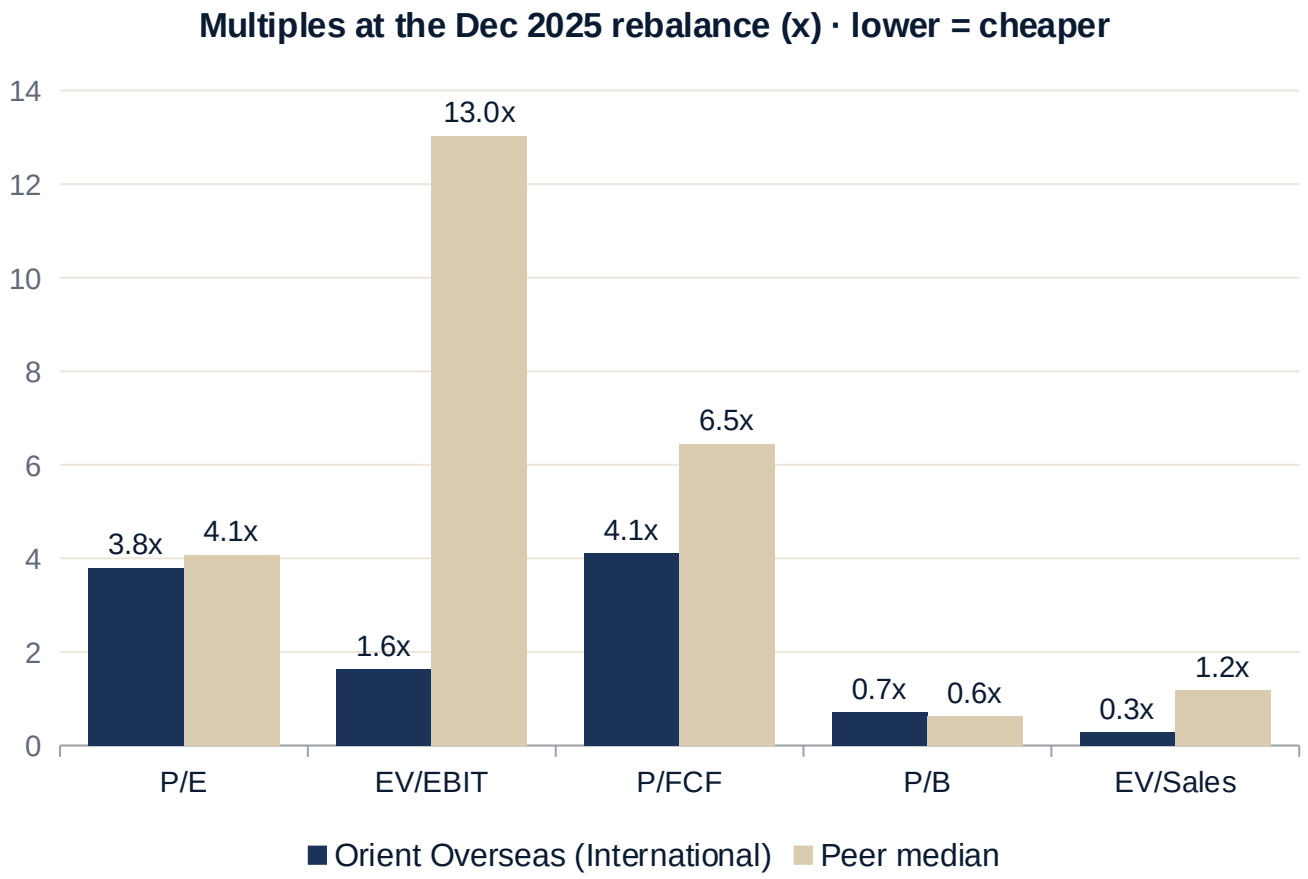
US$582/t

Bunker fuel, H1 2026

+8%: the largest variable cost.

WHY THE SCREEN PICKED IT

The top score of all 1,990 stocks: EV/EBIT 1.6x against 13x for peers



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Value rank in its sector

EV/EBIT z = +7.9: the most extreme reading in the universe.

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Rebalances held (since Dec 2022)

H1 2026 return +0.4% vs +10.8% for MSCI World.

Core: Hong Kong

In the 70/30 value strategy

Inside the Hong Kong ETF line; not in the satellite in June 2026.

Source: Thoth Ledger stock screen, Bloomberg data (FY to 2024-12, used with a 6-month lag); peers = same GICS industry group.

VARIANT PERCEPTION

The bulls read the cycle as a trend

THE MARKET SAYS	WE SAY
“At 8x earnings and 5.8% yield it is cheap.”	On normal earnings (US$1.99 a share) and a normal multiple it is worth ~HK$124.
“Disruption will keep rates high.”	Ships are returning to Suez and fleet growth outruns demand.
“The net cash protects the downside.”	It does, partly: that is why we are Underweight, not short.

FINANCIALS

Earnings are falling back toward a normal year

	FY2024	FY2025	H1 2026	Trend
Revenue	US$10.7bn	US$9.7bn	US$5.2bn	Q3 liner +45%
Operating profit	US$2.62bn	US$1.54bn	US$0.72bn	—
Profit attributable	**US$2.58bn**	**US$1.51bn**	**US$0.73bn**	**—**
EPS	US$3.90	US$2.29	US$1.10	—
DPS	US$1.95	US$1.14	US$0.55 interim	payout ~50%

WHAT TO WATCH

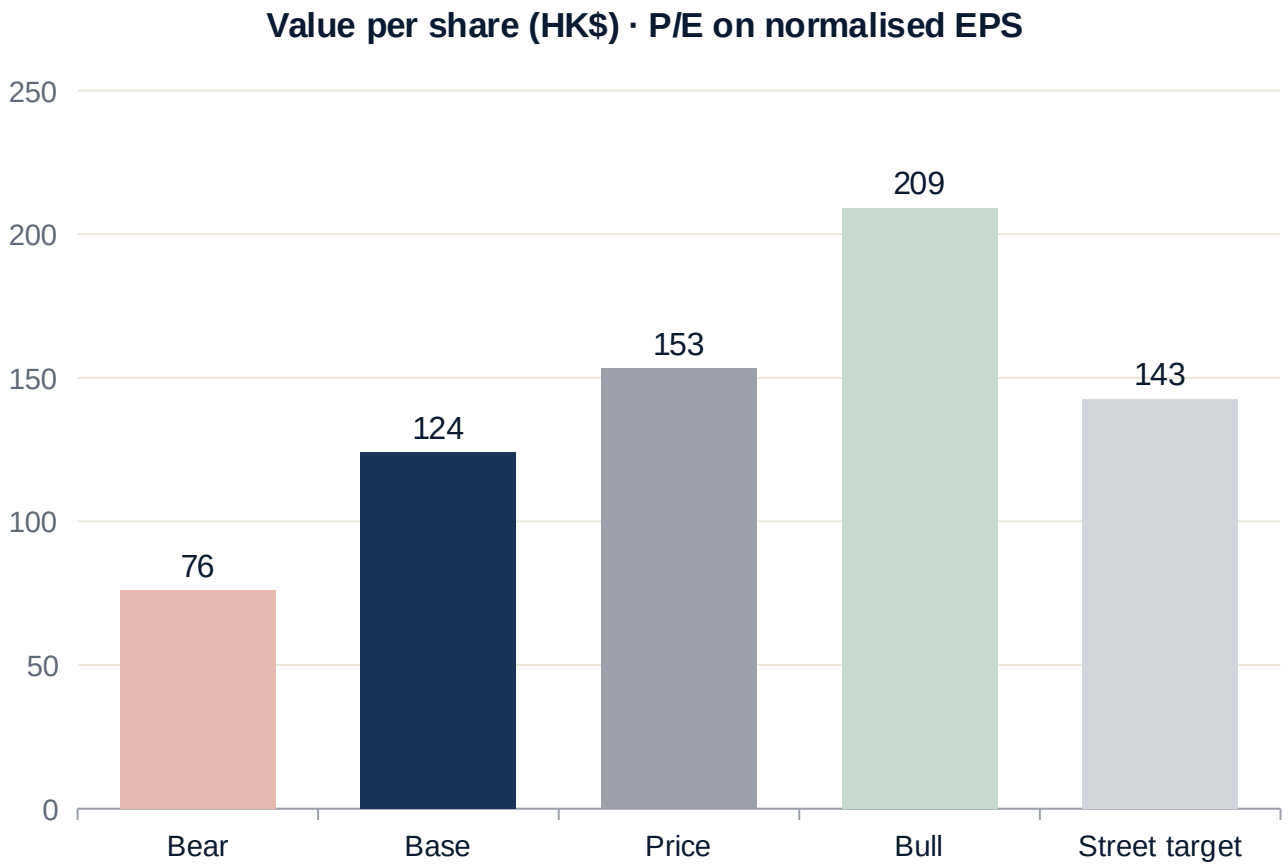
Mar 2027

FY2026 results and the dividend policy for 2027 onward.

Source: OOIL 2024 and 2025 annual results announcements (HKEX, 13 Mar 2025 and Mar 2026), 2026 interim report. No numeric guidance.

VALUATION

HK$124 base case: 8x a normal year, not the last one



HOW WE GET THERE

P/E on normalised earnings

1. **Normal profit US$1.3bn**
   2019-2025 average, excluding the 2021-22 supercycle and the 2019 one-off.
2. **US$1.99 × 8x × 7.8**
   HK$124 a share; bear 7x on 0.7x earnings, bull 9x on 1.5x.
3. **−19%: Underweight**
   A case study for the screen: trailing P/E fails in cyclicals.

Source: own valuation from OOIL results 2019-2025; Street target third-party (29 Oct 2026).

CATALYSTS

Policy dates and the contract season decide 2027 rates



HARD

US port fees

Resume or extended.

HARD

US-China truce expiry

Tariff risk on trans-Pacific volumes.

HARD

FY2026 results

New dividend policy for 2027+.

SOFT

Contract season

Trans-Pacific annual rates.

The number to watch: trans-Pacific contract rates for 2027 against 2026.

RISKS

The risk to an Underweight: disruption lasts

Red Sea and Hormuz stay closed

Rates stay high; bull case HK$209.

Special dividend from net cash

US$4.5bn of net cash could be returned.

COSCO takes it private

71% owner; a buyout premium is possible.

WE WOULD CHANGE OUR VIEW IF

- → Fleet growth falls below demand growth for 2027
- → 2027 contract rates set well above 2026
- → A special dividend or a buyout offer

UNDERWEIGHT

Base case HK$124 · −19%

The cheapest stock in the universe, priced on a peak year

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Value rank

Industrials, Dec 2025

−86%

Profit, 2022 → 2023

the cycle in one year

Mar 2027

Key catalyst

FY2026 and dividend policy

Questions?

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Sources and disclosures

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[4] OOIL, *2022 Annual Results Announcement*, HKEX, 22 Mar 2023 (cross-check of 2021–22 profit)

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[13] Cyprus Shipping News, "Drewry World Container Index – 22 Oct", 26 Oct 2026

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Student research by Noah Doose (MSc Financial Markets & Investments, SKEMA Business School) for educational purposes and job interviews. Not investment advice or a solicitation. Market data (prices, consensus, forward multiples) is third-party as of the date shown and will be refreshed from Bloomberg; company figures come from the filings listed. Screen data: Thoth Ledger pipeline on Bloomberg data extracted on the SKEMA terminal (Oct 2026).